

Commerce & Financial Management

Undergraduate Core Notes: Microeconomics, Capital Budgeting & Market Structures

LEVEL: B.Com / BBA COURSE: Corporate Finance & Economics MODULE: 1.0 - Foundations

MODULE 1: FINANCIAL EVALUATION & CAPITAL BUDGETING

Capital budgeting decisions involve long-term resource allocation for projects with multi-year cash flow horizons. Firms evaluate investment viability using discounted cash flow (DCF) metrics to maximize shareholder wealth.

Core Metric: Net Present Value (NPV)

NPV measures the net value added to the firm by discounting expected future cash inflows at the cost of capital (r) and subtracting the initial outlay (C_0).

$$NPV = \sum [C_t / (1 + r)^t] - C_0 \quad (\text{for } t = 1 \text{ to } n)$$

Evaluation Metrics Comparison

Metric	Decision Criterion	Primary Advantage	Major Limitation
Net Present Value (NPV)	Accept if $NPV > 0$	Accounts for Time Value of Money & Scale	Requires precise Cost of Capital estimation
Internal Rate of Return (IRR)	Accept if $IRR >$ Hurdle Rate	Intuitive percentage yield output	Multiple IRRs for non-normal cash flows
Payback Period (PBP)	Accept if PBP < Target Limit	Simple liquidity risk indicator	Ignores cash flows occurring after payback

MODULE 2: MARKET STRUCTURES & PRICE DETERMINATION

Perfect Competition

Large number of buyers and sellers, homogeneous products, zero barriers to entry/exit. Firms are price takers where $Price = Marginal Revenue = Marginal Cost$ in long-run equilibrium.

Oligopoly & Game Theory

Few dominant sellers with strong strategic interdependence. Modeled using Nash Equilibrium, where each firm chooses its optimal strategy given rival positioning.

MODULE 3: SUPPLY CHAIN LOGISTICS & TRADE FINANCE

International commerce depends on standardized transactional instruments and risk mitigation mechanisms across global trade routes.

Key Trade Finance Instruments

- **Letter of Credit (LC):** A financial guarantee issued by an importing bank guaranteeing payment to the exporter upon presentation of compliant shipping documentation (Bill of Lading).
- **Bill of Exchange (Draft):** An unconditional written order by the seller requiring the buyer to pay a specified sum at sight or at a fixed future date.
- **Incoterms (International Commercial Terms):** Standardized rules (e.g., FOB, CIF, DDP) defining cost and risk division between buyers and sellers in transit.

Risk Management: Financial Hedging

Commercial firms use financial derivatives (Futures, Options, and Forward Contracts) to lock in currency exchange rates and commodity purchase prices, neutralizing adverse market volatility.

Financial Ratios & Working Capital Analysis

Ratio Category	Formula	Analytical Objective
Current Ratio	<i>Current Assets / Current Liabilities</i>	Assesses short-term liquidity & solvency margin
Debt-to-Equity	<i>Total Liabilities / Shareholder Equity</i>	Measures financial leverage and capital structure risk
Return on Equity (ROE)	<i>Net Income / Shareholder Equity</i>	Evaluates management efficiency in generating profit
Inventory Turnover	<i>COGS / Average Inventory</i>	Measures stock liquidity and supply chain efficiency